YEMEN Food Security Outlook — June 2019 to January 2020

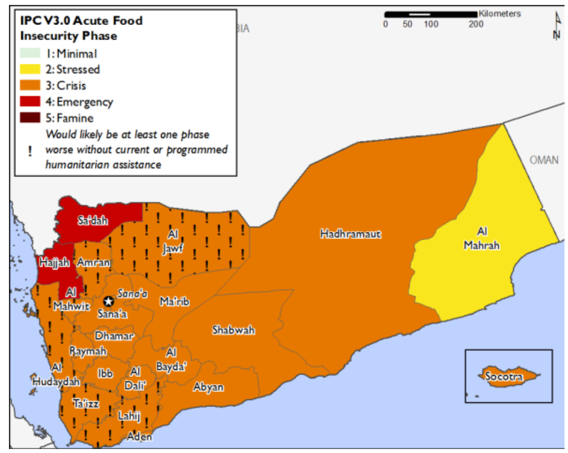
Major food security emergency in Yemen expected to continue into early 2020

KEY MESSAGES

- FEWS NET estimates that approximately 17 million people in Yemen will remain in need of urgent action (IPC Phase 3 or higher) through early 2020. Sa'ada and Hajjah governorates are in Emergency (IPC Phase 4), which is associated with large food consumption gaps and/or extreme depletion of livelihood assets. Of the remaining governorates in Crisis (IPC Phase 3), six would be in Emergency (IPC Phase 4) in the absence of ongoing assistance. Yemen also continues to face a risk of Famine (IPC Phase 5) given the high security risk that has the potential to damage key infrastructure and/or cut off trade and population movement.

- Conflict has increased in northern Yemen (Hajjah, Sa'ada) and southern Yemen (Ad Dali) in recent months, driving increases in displacement and disruptions to trade, particularly between Aden and Sana'a City. In addition, disruptions to fuel imports in recent months have driven high volatility in prices for key diesel and other essential fuel products.

Current food security outcomes, June 2019



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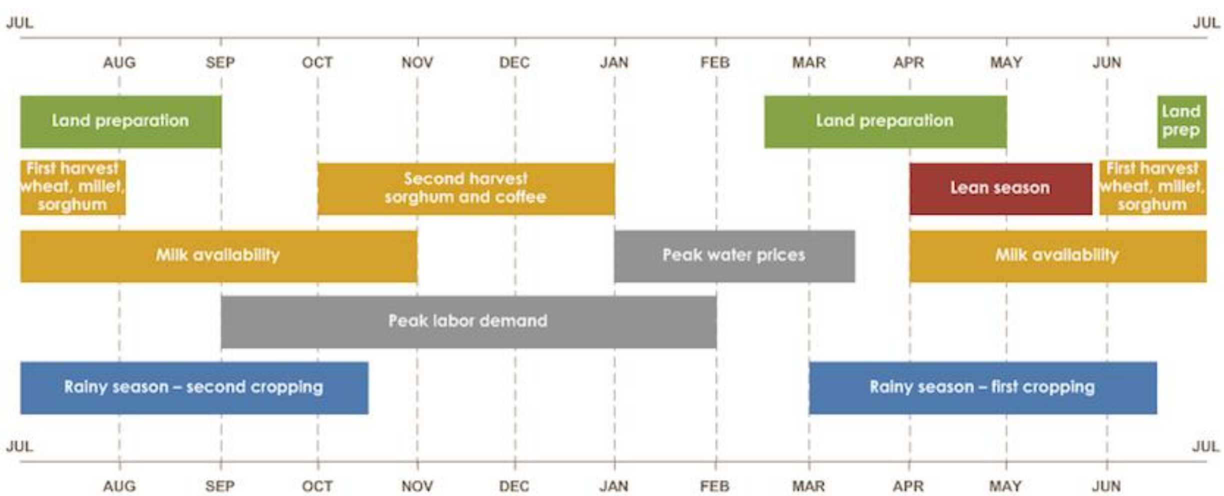
- Large-scale humanitarian assistance continues to play an important role in reducing the severity of acute food insecurity outcomes in Yemen. In May 2019, WFP distributed in-kind and voucher assistance to approximately 11.3 million people, the highest number of people reached since the conflict began in 2015. However, WFP has suspended delivery of assistance in Sana'a City and may discontinue assistance in parts of northern Yemen, where WFP is facing difficulty getting access to populations of concern and implementing a bio-registration system for beneficiaries.

SEASONAL CALENDAR FOR A TYPICAL YEAR



Source: *FEWS NET*

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NATIONAL OVERVIEW

Current Situation

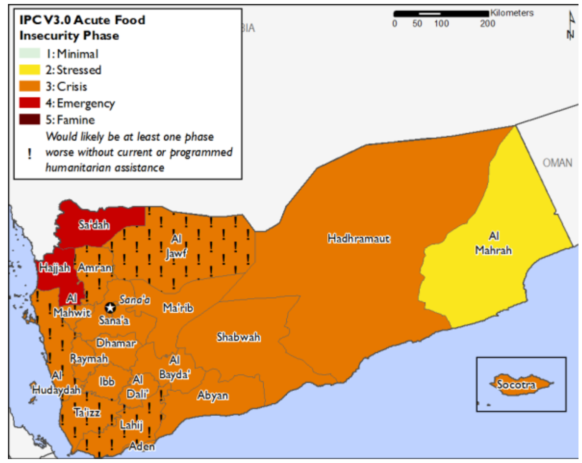
Conflict

In the six months since the Stockholm Agreement was reached in December 2018, tensions remain high in Al Hudaydah governorate, while centers of active conflict have shifted to northern and southern areas of the country. In the north, active fighting is most intense in Hajjah governorate, where significant numbers of airstrikes and ground conflict continue to be reported, as pro-government and Houthi forces engage each other and as conflict has increased between Houthi groups and local tribes. Meanwhile, conflict has increased in Ad Dali governorate as Houthi fighters have partially redeployed in order to engage pro-government fighters away from Al Hudaydah City and along key southern transport networks. Pro-government forces have engaged Houthi forces in Ad Dali, while also attacking Houthi forces in Ibb governorate en route from Al Hudaydah to Ad Dali. Meanwhile, reports indicate that conflict persists in Ta'izz governorate, including in and near Ta'izz City.

As of early June 2019, the Red Sea ports remain open and commercial and humanitarian imports continue, although road access along key trade routes remains difficult. The main road connecting Al Hudaydah with Sana'a City and Ta'izz remains closed and the only road connecting Al Hudaydah City to Sana'a City is from the north of Al Hudaydah using the road to Al Dahi and Bajil. On May 5, 2019, the World Food Programme (WFP) succeeded in accessing the Red Sea Mills on the eastern outskirts of Al Hudaydah City as part of efforts to save 51,000 metric tons of wheat flour stocks that remain in storage nearly eight months after access to the facility was cut off due to intense fighting. WFP hopes to restart producing flour in the facility in June, if access remains open.

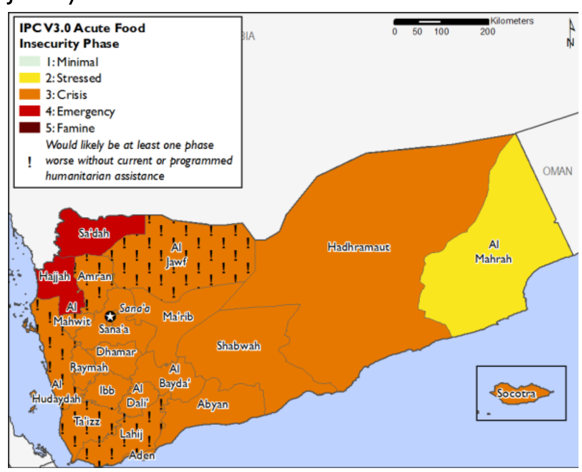
Approximately 255,576 people were displaced in Yemen between January to May 26, 2019, according to the International Organization for Migration (IOM). The top 3 locations of displacement are Hajjah, Al Hudaydah, Ad Dhale'e. This follows estimates that the number of IDPs in Yemen totaled approximately 3.6 million as of November 2018.

Projected food security outcomes, July to September 2019



Source: *FEWS NET*

Projected food security outcomes, October 2019 to January 2020



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Macroeconomic conditions

The Yemeni Rial has started to depreciate slightly, following improvements in the USD/YER exchange rate in late March and April 2019. The Yemeni Rial has depreciated slightly in recent weeks, reaching 534 YER/USD by late May 2019. This depreciation follows improvements in the value of the Yemeni Rial from 745 YER/USD in October 2018 to 519 YER/USD in April 2018, driven by commitments by the government of Saudi Arabia to provide significant transfers of foreign exchange in order to help stabilize the macroeconomy. The Central Bank in Aden (CBY) has also announced its intention to provide additional support to the importation of essential commodities. This support would consist of the Central Bank financing banks' letter of credit applications for importing food commodities, medical supplies and equipment, construction materials, and clothing.

Food imports and staple food availability

Monthly arrivals of bulk carriers into Yemen's ports are higher in 2019 than in 2018. Ship tracking data suggest the monthly number of bulk carriers, which typically transport most cereals in Yemen, has generally increased in April 2019 by approximately 26 percent compared to March 2019 and by 50 percent compared to the average for the six previous months (October 2018 to March 2019). Moreover, average monthly arrivals between January and April 2019 is 38 percent higher than the monthly average in 2018.

Imports of food commodities through the Red Sea ports have increased in 2019 compared to 2018 levels. According to UNIVM data, approximately 433,898 MT of food commodities were imported in April 2019 through Al Hudaydah and Salif ports, which is 7 percent higher than in April 2019, 118 percent higher than the average quantity imported in first quarter of 2019 (January-March 2019) and 79 percent higher than the average quantity imported in 2018. Moreover, UNVIM estimates the average quantity of food imported per month between January and May 2019 was approximately 307,160 MT, compared to a January to May 2018 monthly average of 250,671 MT. Due to the nature of the data available, it is difficult to compare these totals with import requirements for any particular commodity or staple cereal, such as wheat.

Fuel imports

Fuel imports through the Red Sea ports have improved in May 2019, following sharp decreases in April 2019. In April 2019, fuel imports through the Red Sea ports decreased by approximately 40 percent compared to March 2019 and were approximately 31 percent less than the monthly average between January and March 2019. Field reports indicate that these decreases may be associated with difficulties importers are facing obtaining permission to discharge goods. However, in May 2019, fuel imports through the Red Sea ports rebounded, increasing by 62 percent compared to April. Red Sea fuel imports in May 2019 were approximately 22 percent higher than the monthly average between January and April 2019, and 28 percent higher than the monthly average imported in 2018. In addition, field reports also suggest that decreases in fuel imports in April may have been partially offset by increases in imports through southern ports in Aden and Al Mukalla, although specific information to provide additional evidence of this is not available.

Internal trade

Road access remains difficult in much of Yemen, with the Yemen Logistics Cluster Access Constraints Map from April 28, 2019 showing an increase in the number of routes closed between Ibb and Ad Dali governorates compared to March 2019.This is in addition to the main roads in western, southwestern, and northwestern Yemen that remain closed in April, including all major routes in Sa'ada governorate. Of particular concern is the main route between Al Hudaydah City and Sana'a City via Al Marawaha and Baji, which remains closed. In addition, according to the International Crisis Group, the recent fighting in Ad Dali has "effectively cut off" access to the main highway between Aden and Sana'a, which could make transportation of key commodities between these two major cities much more difficult.

Commodity availability on markets

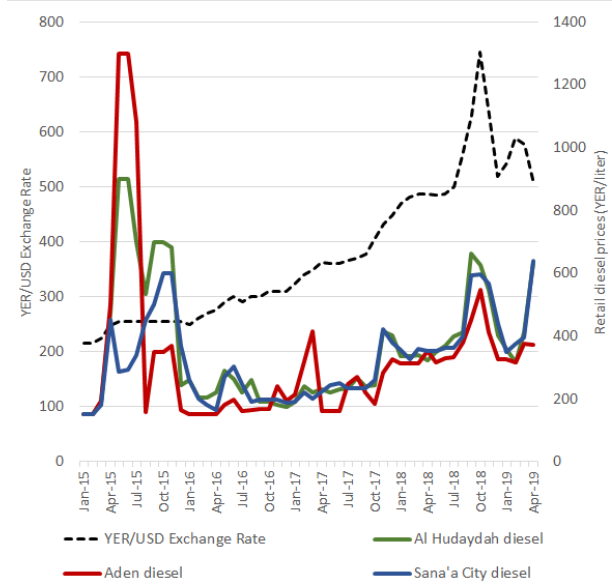
Staple food commodities remained available on most markets in April 2019 according to WFP, with slight improvements compared to the previous 3 months. According to the WFP Market Watch Report for April 2019, wheat flour was "available" (the highest of five rankings) in all governorates in Yemen. WFP indicated that most of the food commodities in Al Hudaydah markets are available except for red beans, which was "sparsely available" (the third highest of five rankings, meaning it was found in at least half of the visits to all markets).

Diesel, petrol, and cooking gas were "sparsely available" and "widely available" in April 2019 across most markets in Yemen, in line with findings over the three previous months. Diesel and petrol were "sparsely available" in 15 of 22 governorates, "widely available" in 4 governorates, and "available" in Al Jawf, Hardramout, and Lahj governorates. Cooking gas was "sparsely available" in 14 of 22 governorates, and "available" in Abyan, Al Dali, Aden, Al Jawf, Al Mahrah, Lahj, Marib, and Shabwa. These fuel shortages are reportedly partially related to the rejection of the government in Aden to give permits to eight fuel ships to dispatch in Al Hudaydah ports for not following guidelines issue by the Central Bank in Aden in Decree 75 in October 2018. This mechanism was rejected by Houthi officials in Sana'a, which created an additional requirement for traders in the north, resulting in serious shortages of fuel in areas supplied by imports from the Red Sea ports. In late April, the Economic Committee in Aden (EC), permitted ships to partially discharge their fuel cargo in the Al Hudaydah seaports, which resulted in gradual increases in the availability of the fuel in this part of Yemen.

Fuel prices

Fuel prices increased sharply in April 2019, particularly in northern areas of Yemen. Diesel prices increased by more than 60 percent in Sana'a City between March and April 2019 and by 45-55 percent in Al Hudaydah and Raymah governorates. Diesel prices also increased in Dhamar governorate by 36 percent, and by 20-30 percent in Al Jawf, Amran, and Marib. These substantial increases follow significant declines that occurred in late 2018. In April 2019, diesel prices in Al Hudaydah and Sana'a City were 50 percent higher than the 2018 average, and nearly 150 percent higher than the 2017 average. The recent increase in fuel prices was reportedly due to fuel shortages in northern Yemen associated with obtaining discharge permits from the government based in Aden. Following improvements in supply in May, initial information indicates that fuel prices have returned to their March 2019 levels in recent weeks. Well above-average fuel prices continue to negatively affect typical livelihood activities, such as agriculture, and contribute to increased prices of food and non-food commodities through higher transaction costs. High prices and limited availability have also constrained water access as many areas rely on pumping water for human use.

Figure 1. Retail diesel prices (YER/liter), select markets

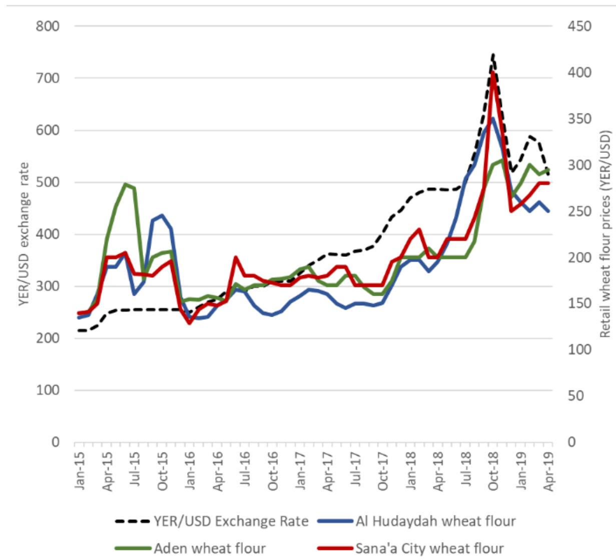


Source: *FEWS NET/WFP/MOPIC*

Wheat flour prices

Wheat flour prices remained stable in April 2019, at levels significantly higher than in recent years, but substantially lower than in late 2018 (Figure 2). According to WFP data in April 2019, wheat flour prices were approximately 250–295 YER/kg in the main markets of Al Hudaydah, Aden, and Sana'a City, which is approximately 30 percent lower than in October 2018 in Al Hudaydah and Sana'a City, and about two percent lower in Aden. These recent improvements are attributed, at least in part, to improvements in the YER exchange rate. In April 2019, wheat flour prices on these markets are 28 to 48 percent higher than in April 2018, and 41 to 62 percent higher than the recent five-year average, and approximately 80 to 125 percent higher than in January 2015, prior to the ongoing conflict.

Figure 2. Retail wheat flour prices (YER/kg), select markets



Source: *FEWS NET/WFP/MOPIC*

As seen in late 2018, the potential for staple food prices to increase sharply well beyond current levels remains a significant concern. Despite stable wheat flour prices in recent weeks, prices of imported staple foods remain subject to changes in the YER/USD exchange rate. Given the inability to generate foreign exchange sufficient to support a stable exchange rate, Yemen faces the prospect of future depreciation of the YER and sharp increases in staple food prices. Should this occur, food access for millions of Yemenis, who are highly reliant on purchases of staple foods to meet their basic needs, would be significantly impacted.

Income sources

The frequency of salary payments for government officials has reportedly improved in recent months, although many households, particularly IDPs, continue to face difficulty accessing adequate levels of income. For example, in April/May 2019, teachers in Al Hudaydah received several months of back-pay, after not receiving regular salaries over the past year. In government-controlled areas, payments to government staff are reportedly occurring on a more regular basis. In rural areas, some typical livelihoods activities continue, although households continue to report difficulty accessing typical levels of income. According a multi-sectoral needs assessment conducted by WarChild in in December 2018, interviewees in select districts in Sana'a, Tai'zz, and Ibb governorates indicated that households were earning income through agricultural labor, livestock raising, daily labor, and petty trade, although unemployment was very common. Interviewees also reported that begging has also increased compared to prior to the onset of conflict in 2015. According to a multi-sectoral assessment conducted in two districts in Al Bayda governorate in February 2019, interviewees reported that IDPs are facing difficulty accessing income from their typical sources. IDPs are reportedly engaging in some daily labor, but are largely relying on host community support. Difficulties accessing income have resulted, in part, from reduced agricultural activity due to the high cost of diesel for water pumps, as well as the presence of land mines on agricultural land.

Social Welfare Fund-like payments are helping to supplement household income for many poor households. UNICEF completed the fourth round of payments to Social Welfare Fund (SWF) beneficiaries in March 2019, and the fifth payment will begin in June/July 2019 through a UNICEF/World Bank project that covered approximately 1.5 million former SWF households (approximately 9 million people). These transfers average approximately 15,000 YER per household, which is equivalent to approximately 33 percent of the cost of the monthly minimum food basket (45,000 YER), as estimated in April 2019 by the Food Security and Agriculture Cluster. These additional cash resources have likely helped to support household purchasing power and food access among some of Yemen's poorest households.

Remittances are a major source of income in Yemen, and new taxes in Saudi Arabia and restrictions on some occupations for foreign workers may negatively impact some households' ability to earn income through remittances. Remittances likely remain a major source of income for some households in Yemen. However, after imposing additional taxes on all foreign workers and their dependents in 2017, the government of Saudi Arabia began to implement a job Saudization plan in September 2018. This plan seeks to reserve approximately 60,000 jobs for Saudi citizens who would replace expatriate workers. Once fully implemented in 2019, this policy could limit some Yemeni workers' ability to send remittances back to Yemen. According to IOM, about 5,462 Yemenis returned from Saudi Arabia in March 2019, which is generally in line with the approximately 10,000 Yemenis who returns during the two months prior. In total, this brings the number of Yemeni returnees between January 2018 and March 2019 to about 88,441. Certain private sector estimates indicate that as many as 1.6 million foreign workers may have left the job market in Saudi Arabia since 2017, including approximately 1 million workers in 2018, although information is limited on how many of these workers are from Yemen.

Food sources

Market purchases using cash and credit, humanitarian assistance, and reliance on community support remain major sources of food for many households in Yemen. According to WarChild's multi-sectoral assessment conducted in December 2018, interviewees in parts of Sana'a, Tai'zz, and Ibb indicated that households are accessing food via market purchase and humanitarian assistance. Other sources of food included own production, gathering of wild foods, and reliance on receiving food from friends and relatives. Meanwhile, interviewees also reported that marginalized groups in the surveyed areas are unable to have self-sufficient food and depending heavily on humanitarian assistance, charity, and assistance provided by families and friends. According to the multi-sectoral assessment conducted in Al Bayda governorate in February 2019, interviewees indicated that IDPs are relying on the support from host community, and although food is available on markets, high food prices exceeded what IDPs could afford to purchase. In parts of Al Bayda, some IDPs have not received assistance in over two months due to humanitarian access constraints.

Humanitarian assistance

Provision of emergency food assistance has increased significantly during the first half of 2019. Between January and April 2019, WFP reached between 9.1 and 10.6 million people per month with emergency food assistance, which targets two-thirds to a full ration. The average number of people receiving WFP assistance between January and April 2019 is approximately 36 percent higher than the September to December 2018 monthly average. WFP assistance in May 2019 increased further, reaching approximately 11.3 million people. Areas where increases in assistance have been particularly significant include Abyan, Ad Dali, Al Jawf, Lahim, Ma'rib, and Ta'izz governorates. In addition, WFP provided two months of food assistance to 890 households in Nihm district, an area considered to be the worst affected by conflict in Sana'a governorate, in May for the first time since the conflict started in 2015. Additionally, WFP distributed two months of food assistance to Ad Durayhimi city of Al Hudaydah governorate in May for the first time in 2019, which also included water, hygiene kits, and dignity kits from UNICEF and UNFPA. WFP is planning to scale up its assistance to reach 12 million people per month in 2019, with plans to reach 10 million people with in-kind food rations and 2 million commodity vouchers.

Humanitarian access constraints are "high" in approximately seven percent of districts in Yemen, while about 18 percent of districts face "medium" access constraints, according to OCHA. Of those districts where access is most difficult, half are difficult to reach due to ongoing conflict, particularly select districts in Al Bayda, Hudaydah, Sa'ada, and Hajjah. Elsewhere, access difficulties are mostly related to administrative difficulties such as signing of sub-agreements and approval of humanitarian activities and movements.

WFP is reporting obstacles and delays in delivering food assistance to distribution points, with significant impacts on WFP's operations and program implementation. On May 20, 2019, WFP announced the possibility of suspending its humanitarian aid in some areas of northern Yemen. As of late June 2019, WFP has confirmed suspension of delivery of assistance to approximately 850,000 beneficiaries in Sana'a City and may discontinue assistance in parts of northern Yemen, where WFP is facing difficulty getting access to populations of concern and implementing a bio-registration system for beneficiaries. Given the importance of food assistance as a source of food and income, FEWS NET expects that a protracted absence of assistance would lead to a deterioration of food insecurity among some populations, leading to an increase in outcomes in line with Emergency (IPC Phase 4), including increased prevalence of global acute malnutrition and/or severe livelihoods coping strategies.

Disease outbreaks

The weekly number of suspected cholera cases started to decline between mid-April and late-May 2109 after reaching more 30,000 suspected cases per week in early April. Since mid-April, the weekly number of cases has declined to approximately 17,665 cases between May 20-26, 2019. Amanat Al Asimah, Sana'a, Ibb, Dhamar, Hajjah and Amran governorates are the governorates most affected by cholera outbreak in 2019. Although overall the number of suspected cases is concerning the caseload remains lower than when the cholera outbreak peaked in mid-2017 at more than 50,000 suspected cases in a single week.

Measles cases continue to be reported in Yemen, with the highest numbers of cases in 2019 reported in Sa'ada, Amanat Al Asimah, Hajjah, and Dhamar governorates. Between January 1 and May 26, 2019, the caseload reached approximately 7,197 cases, which is 34 percent lower than during the first five months of 2018, and nearly 180 percent higher than during the first five months of 2017.

Diphtheria cases also continue to be reported in Yemen, with approximately 485 suspected cases were reported in Yemen between early January and April 28, 2019, in 22 governorates across the country. Approximately 6 new probable cases were reported during the last week of April 2019, which is significantly lower than those observed since the peak of the outbreak in January 2018, when the number of probable cases identified approached or exceeded 100 cases per week. According to the Electronic Disease Early Warning System, the worst-affected governorates include Ibb, Al Hudaydah, and Hajjah.

Approximately 783 suspected cases and 153 deaths of H1N1 were reported in Yemen between early January and May 5, 2019, in 18 governorates across the country. According to the Ministry of Health and population, the worst-affected governorates include Amanat Al Asimah, Sa'ada, Amran, Ibb and Sana'a.

Between January 1 and April 30, 2019, approximately 8,512 cases and 21 deaths of dengue fever were reported nationwide. According to the Ministry of Health and population the worst-affected governorate was Al Hudaydah, followed by Lahij and Hadramout.

Current food security and nutrition outcomes

FEWS NET estimates that approximately 17 million people in Yemen will remain in need of urgent action (IPC Phase 3 or higher) through early 2020. In mid-to-late 2018, partners and government organizations collected food security data in most districts in Yemen. Among the indicators collected were Food Consumption Score, the reduced Coping Strategies Index, Household Hunger Scale, and a Livelihoods Coping module. Separately, multiple SMART surveys in 2018 collected anthropometric data on children aged 6 to 59 months, and in some cases mortality data was collected. In general, the data suggested large numbers of people in Yemen were facing moderate to large food consumption gaps or were engaging in negative and irreversible livelihoods-based coping strategies in order to try to meet their food needs. In the absence of assistance, approximately 17 million people would be facing Crisis (IPC Phase 3) outcomes or worse. At a national level in Yemen, WFP mVAM data indicate that the proportion of households with "poor" food consumption remained generally stable between late 2018 and April 2019. Overall, mVAM data indicate that approximately 6 in 10 households have "acceptable" food consumption, more than one quarter have "borderline" food consumption, while slightly more than 1 in 10 have "poor" food consumption.

In mid-2019, staple food prices remain lower than those observed in late 2018. For some government employees, access to salary income has improved in recent months, which is likely to strengthen household purchasing power, at least in the short term. However, household access to adequate and stable levels of income remains limited to many non-government employees, and particularly among IDPs and very poor households. The number of people receiving emergency food assistance each month has increased by as much as one-third since late 2018, reaching more than 10 million people in March 2019. Due to community sharing and other issues, it is likely that assistance is impacting food security outcomes differently among households who receive assistance. Likewise, assistance is not necessarily in all cases reaching those in greatest need. Nevertheless, it is likely that assistance is playing a significant role in mitigating worse outcomes. Given that needs are significantly greater than current assistance programming, sustained improvements in security and significant additional assistance is needed to help protect food consumption and improve food security outcomes for millions of people in Yemen. Acute food insecurity is classified as Emergency (IPC Phase 4) in Sa'ada and Hajjah governorates, while the remaining 20 governorates are facing Crisis-level outcomes. Of those classified in Crisis, six would likely be in Emergency in the absence of ongoing emergency food assistance and are thus classified in Crisis (IPC Phase 3!).

The number of children admitted for treatment of severe acute malnutrition (SAM) fluctuates significantly on a month-to-month basis, although in general admissions in 2019 appear to be higher overall than at the same time in recent years, according to UNICEF admissions data. The SAM caseload in early 2019 averaged between 27,000 and 29,000 cases per month, compared to an average of approximately 25,000 in early 2018 and less than 20,000 in early 2017. According to UNICEF, higher caseloads in 2019 could be related to increases in the number of OTP sites during 2018. These increases may also be the result of referrals following the MUAC screening campaign, which was conducted by the MoPHP with support from UNICEF in October 2017 and the immunization campaign of the measles which took place in February 2019.

Assumptions

The most likely scenario for the June 2019 to January 2020 period is based on the following national-level assumptions:

- **Conflict:** For the purposes of this scenario, FEWS NET assumes that conflict will continue at levels similar to those observed during the first half of 2019 and will drive increases in displacement through at least January 2020. Should major parties to conflict achieve a lasting ceasefire that improves security, livelihood and economic activities could begin to return to normal in the medium term.

- **Economy:** For the most likely scenario, FEWS NET assumes that the current macroeconomic crisis will continue. More specifically:

    - **Central Bank**: The Central Bank's current split in management will continue. The Central Bank will not receive any additional major funding from external donors and will not provide credit to the private sector for food importation during the scenario period. However, the Central Bank in Aden will continue to provide a preferential exchange rate of 440 YER/USD to traders to support imports of key staple food commodities, although access to these exchange rates may be more difficult for traders in northern areas.

- **Oil Exports:** Oil exports will not return to pre-conflict levels during the scenario period.

- **Foreign reserves:** Yemen's foreign reserves within the country will continue to decline compared to current levels, given the assumptions of significantly reduced oil exports and no additional funding from external donors.

- **Exchange rate**: The Yemeni Rial will continue to depreciate against foreign currencies due to the inability of the two central banks to intervene due to operational constraints and the shortage of hard currency as well as the decline in foreign reserves and limited government revenues.

- **Liquidity constraints:** Liquidity constraints at banks within Yemen will continue to worsen and will limit general economic activities and complicate import activities.

- **Ports and imports**:

    - **Seaports:** Cargo will continue arriving into Al Hudaydah, Salif, Aden, and Al Mukalla ports. Cargo arriving into Al Mokha will remain limited. While large traders will continue to find alternative methods of accessing foreign currency to continue operations, import levels will likely remain volatile and transaction costs associated with these imports will increase.

    - **Informal food flows across land borders** will also continue at status quo levels, but their transport into the western areas of Yemen will remain difficult due to civil insecurity and difficult market access.

    - **Import financing:** The financial crisis within the Central Banks of Yemen, and the shortage of foreign currency and difficulty associated with accessing lines of credit through private sources, will likely increase the difficulties and make it costly for the private sector to continue food imports into the country. The need to use foreign currency rather than Yemeni Rials to fund imports in Houthi-controlled areas may also constrain fuel imports into Yemen.

    - **Food and fuel import levels:** Based on the above assumptions, FEWS NET is assuming that the average quantity of food imported through the Red Sea and Aden ports will continue at slightly to moderately below-average levels, whereas the quantity of imported fuel will meet less than two-thirds of monthly requirements.

- **Government salaries and the Social Welfare Fund:** Many government employees will continue not to receive regular salaries or pensions due to the Central Banks' lack of adequate financial resources. In addition, at least one round of Social Welfare Fund-like payments is expected during the scenario period.

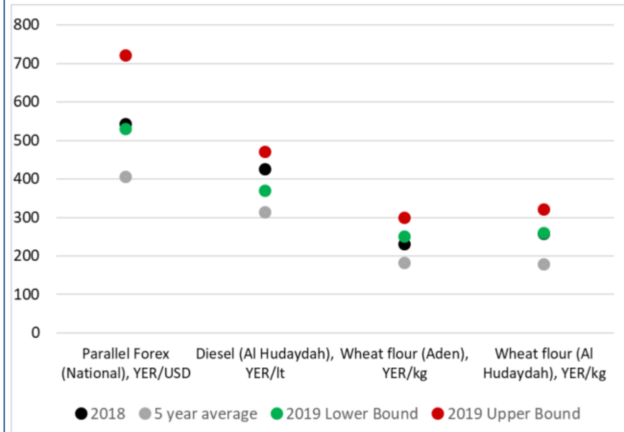
- **Internal trade flows:** Active fighting, damaged transportation infrastructure, high fuel prices, and additional security and transaction costs (e.g., commissions at checkpoints), will continue to complicate trade flows within the country. Moreover, the transport of commodities to Sana'a City and other neighboring governorates from Al Hudaydah and Salif ports will also be difficult due to road access constraints between Al Hudaydah and Sana'a governorate. In the absence of additional information about the evolution of conflict, FEWS NET assumes that areas where trade flows will be particularly constrained will be the same areas where roads are currently closed, as shown by the Logistics Cluster's most recent access constraints map.

- **Market demand:** Demand from consumers will remain atypically low due to weak household purchasing power caused by below-average incomes, high levels of debt, and well above-average prices for essential commodities. However, purchasing power may improve temporarily at times during the scenario period as households receive salary payments and/or cash transfers.

- **Fuel prices:** Given a tightening of supply due to fuel imports well below national requirements, continued conflict, persistent currency depreciation, and increased transaction costs for imports and transportation, diesel prices in Al Hudaydah during the scenario period (June 2019 and January 2020) will be between 420 and 530 YER/liter and in Aden will be between 360 and 445 YER/liter. Diesel prices in Al Hudaydah are likely to be up to 25 percent higher than 2018 levels, and between 35 and 70 percent higher than the recent five-year average. Diesel prices in Aden are likely to be up to 20 percent higher than 2018 levels and between 25 and 53 percent higher than the recent five-year average.

- **Wheat flour prices:** Retail wheat flour prices in Al Hudaydah will likely be above average and slightly less than in 2018, due to the central bank's financing support of commodity imports, including wheat, at a subsidized exchange rate of 440 YER/USD. FEWS NET assumes retail wheat flour prices in Al Hudaydah will be between 230 and 300 YER/kg by January 2020 and will be 30 to 69 percent above the recent five-year average. On the other hand, retail wheat flour prices in Aden are expected to range between 250 and 300 YER/kg and will be approximately 37 to 65 percent above the recent five-year average. As most consumption markets rely on supply from these two markets, prices in other areas of the country will likely follow trends those in Aden and Al Hudaydah. However, in markets where prices have been particularly volatile due to conflict-related disruptions to trade, such as in Ta'izz and Hajjah, prices will likely be more volatile and sharper increases are possible.

Figure 3. Projected Yemeni Rial (YER) to U.S. Dollar (USD) exchange rate, diesel, and wheat flour prices, January 2019-January 2020



Source: *FEWS NET*

- **Agricultural production:** The seasonality of agricultural production varies depending on the zone in Yemen. Land preparation and planting activities of cereal crops mostly end in June, but may continue in the Central and Eastern Wadi zone and the Western Central Highland Coffee, Qat, Sorghum and Livestock zone from July to November. Harvests will take place between July and October in the Central Highlands and Eastern Plateau and Sa'ada Irrigated Wheat zones. Meanwhile, in southern highland and coastal areas, harvests occur in October/November. Moreover, in the Western and Central Wadi zone, vegetable harvesting will take place until August 2019, and banana and papaya harvesting will continue until December in the Greater Yemen Coastal Zone along the southern and western coasts. The second rainy season (July to September) is expected to be below average in terms of total cumulative rainfall. Production will likely be below average due to a lack of availability and/or access to inputs and limited access to fields in conflict zones. Related agricultural labor opportunities will also be atypically low. Qat production, however, will continue to be generally average.

- **Remittances:** Although remittances have increased during the crisis and remittance service offices will remain open in most urban areas, significant difficulties (e.g., delays, closed offices, lack of liquidity, new taxes, and Saudization policies) will limit the ability of some households to receive remittances from abroad. For households worst affected by labor policies in Saudi Arabia, income from remittances will be well below normal.

- **Fishing:** Fishing activities along Red Sea coastal areas and on the Gulf of Aden coast will continue through September, but will remain well below average due to reduced fishing assets, high fuel prices, and civil insecurity, especially in the western coastal areas. Fishing activities along the Red Sea and Gulf of Aden coasts will remain well below average due to reduced fishing assets, high fuel prices, and civil insecurity, especially in the western coastal areas.

- **Livestock sales:** Reduced livestock assets caused by several years of food insecurity, livestock parasites, and disease will likely result in below-average income from sales of livestock. Despite temporary increases in livestock prices likely during the June and August Eid holidays, livestock-to-cereal terms of trade will likely be below average during the scenario period due to high staple food prices.

- **Incomes from other sources:** The deteriorating macroeconomic situation and conflict will disrupt household livelihoods across much of the country, resulting in below-average household income. The largest declines in income will be among IDP populations and households residing in intense conflict zones, such as Ta'izz, Al Hudaydah, Sa'ada, Al Bayda, coastal Hajjah, and eastern Sana'a (Nehim district), and Ad'Dali (Demt district).

- **Cholera and diphtheria:** Ongoing fuel shortages will continue to limit the availability of clean water, as well as the functioning and delivery of vaccines and medical supplies to health centers and hospitals around the country. As a result, the spread of cholera, diphtheria, and other diseases is expected to continue through the scenario period.

- **Humanitarian assistance:** FEWS NET assumes that humanitarian partners will continue providing in-kind assistance through January 2020. For the purposes of this scenario, FEWS NET assumes humanitarian partners will continue to provide assistance at levels similar to those over the past three months. However, given plans to begin scaling up assistance in 2019, it is possible humanitarian assistance will increase in some areas throughout the scenario period. However, inter-household sharing, poor road access, and increased transportation costs are likely to limit the impact of assistance on food security outcomes in some cases.

Most Likely Food Security Outcomes

The ongoing food security emergency in western Yemen is likely to continue through at least January 2020, with more than 17 million people likely to require emergency food assistance each month. Persistence of conflict and poor macroeconomic conditions will continue to disrupt household livelihoods, limiting purchasing power, and access to food. Harvests during the scenario period will provide some rural households with small food stocks, but these stocks are not expected to have major impacts on food security outcomes given the small-scale nature of agricultural production in Yemen and the fact that these harvests will be below average. Household food access will likely further be constrained by higher than usual food prices.

Under the most likely scenario for June 2019 to September 2019, most areas of western Yemen will be in Crisis (IPC Phase 3) or would be at least one IPC Phase worse in the absence of humanitarian food assistance and will therefore be classified in Crisis (IPC Phase 3!). In the absence of assistance, many households would face food consumption gaps large enough to lead to increases in human mortality and would likely be in Emergency (IPC Phase 4). Although humanitarian assistance is expected to continue beyond September, the number of people in need will significantly exceed the number receiving assistance. IDP populations and poor households in conflict zones will likely continue to face the most severe food security outcomes. Conditions for the displaced will vary based on location, depending on access to labor markets, support from the host community, access to humanitarian aid, and the functioning of local markets. Moreover, the conflict situation is fluid and could result in changes to expected outcomes. However, in the areas most isolated and cut-off from trade by the conflict, many of the displaced are likely to enter or to remain in Crisis (IPC Phase 3) or Emergency (IPC Phase 4) through at least September 2019. Even in the absence of additional disruptions, additional populations may begin to move into Catastrophe (IPC Phase 5) as worst-affected households begin to exhaust their coping capacity.

Under the most likely scenario for October 2019 to January 2020, large areas will remain in Crisis (IPC Phase 3), while Hajjah and Sa'ada remain in Emergency (IPC Phase 4). During this time, no significant improvements in food security are expected, as household access to income remains low and staple food prices remain high. Humanitarian food assistance is expected to continue protecting food consumption for many food assistance beneficiaries through late 2019, many areas of western Yemen areas are expected to remain in Crisis (IPC Phase 3!). Despite ongoing assistance, Hajjah and Sa'ada are expected to remain in Emergency (IPC Phase 4), while food security in Al Mahrah will be Stressed (IPC Phase 2).

In a worst-case scenario, significant declines in commercial imports far below requirement levels and conflict that cuts populations off from trade would likely drive food security outcomes in line with Famine (IPC Phase 5). Military operations, to the extent they occur, increase the risk that key port facilities will be damaged, or that trade from the ports to urban areas of the country will be cut off for a prolonged period. In FEWS NET's analysis, these events would likely lead to Famine (IPC Phase 5) in Yemen. The areas where Famine (IPC Phase 5) would be likely to develop most quickly include areas more highly dependent on imports through Al Hudaydah and Salif, particularly those with intensive conflict and high numbers of IDPs, such as Hajjah, Sa'ada, and Ta'izz. In addition, many of the millions who receive humanitarian food assistance imported through the Red Sea ports would begin to face more immediate and substantial food consumption gaps as stock shortages begin to limit assistance delivery. Even for areas that can access imports from Aden, a risk of Famine (IPC Phase 5) would persist given the already severe levels of acute food insecurity that would be exacerbated by the increased competition for available goods. Second, given very low levels of foreign exchange in country, well below-normal oil revenues, and continued conflict, FEWS NET expects the depreciation of the Yemeni Rial to continue. This could result in further price shocks for essential commodities, increasing the risk of Famine (IPC Phase 5) even in the absence of the physical limitations on imports described above. Additionally, should assistance in 2019 fail to materialize at a national level, it is likely that a large number of the more than 10 million people receiving emergency food assistance each month would begin to face larger food consumption deficits and/or be required to engage in more extreme coping strategies in order to try to meet their food needs. Moreover, as assistance currently contributes to overall supply of food in Yemen, the absence of this assistance could lead to wider price impacts as supply tightens. Together, these factors would increase the number of households whose food security would be at risk of deteriorating to Catastrophe (IPC Phase 5) levels. Areas of northwestern Yemen, particularly Sa'ada and Hajjah, would face an increased risk of Famine (IPC Phase 5) as the number of households in Catastrophe increases.

Events that Might Change the Outlook

Possible events over the next eight months that could change the most-likely scenario.

Area	Event	Impact on food security outcomes
National	Major parties to conflict achieve a lasting ceasefire that improves security and facilitates normalization of livelihood and economic activities.	Food access for many households would begin to improve as prices of staple food commodities decline, household access to food and income begins to return to normal, and IDPs begin to return to their areas of origin. However, additional time would likely be required before the macroeconomy fully stabilizes and major government functions resume in full.
National	Food imports stop due to closure of main ports, destruction of key port infrastructure, or major macroeconomic changes that disrupt imports.	Food availability on local markets would quickly decline and food security outcomes would likely worsen with areas likely to deteriorate to Famine (IPC Phase 5) in a worst-case scenario.
National	The Yemen Central Bank receives external assistance to replenish its depleted reserves or it gains access to its foreign reserves currently frozen in overseas accounts.	The YER/USD exchange rate would become more stable and the Central Bank would further support wheat flour importers through lines of credit. Import levels, local food availability, and food prices would begin to stabilize. In addition, government salaries, pensions, and social welfare would be paid more consistently, increasing household purchasing power and improving food security outcomes.
National	Delivery of humanitarian assistance comes to a halt in select areas of northern Yemen.	The absence of humanitarian assistance in select areas of northern Yemen would likely result in a sizeable increase in the number of households facing Crisis (IPC Phase 3) outcomes, including increased levels of acute malnutrition. Likewise, increases in the population facing Emergency (IPC Phase 4) outcomes would be expected, particularly as households previously receiving assistance begin to engage in more severe coping strategies in order to try to meet their food needs. The size and severity of a deterioration in food security would likely on the scale and duration for which assistance is absent.
National	Yemeni workers in Saudi Arabia become exempt from Saudization labor policies, imposing additional taxes on all foreign workers leading to the removal of Yemeni workers from employment in Saudi Arabia.	Household access to remittances from Saudi Arabia would likely improve, helping to support household purchasing power in Yemen. This would lead households to access additional food through market purchase and an improvement in food security outcomes for those households.

AREAS OF CONCERN

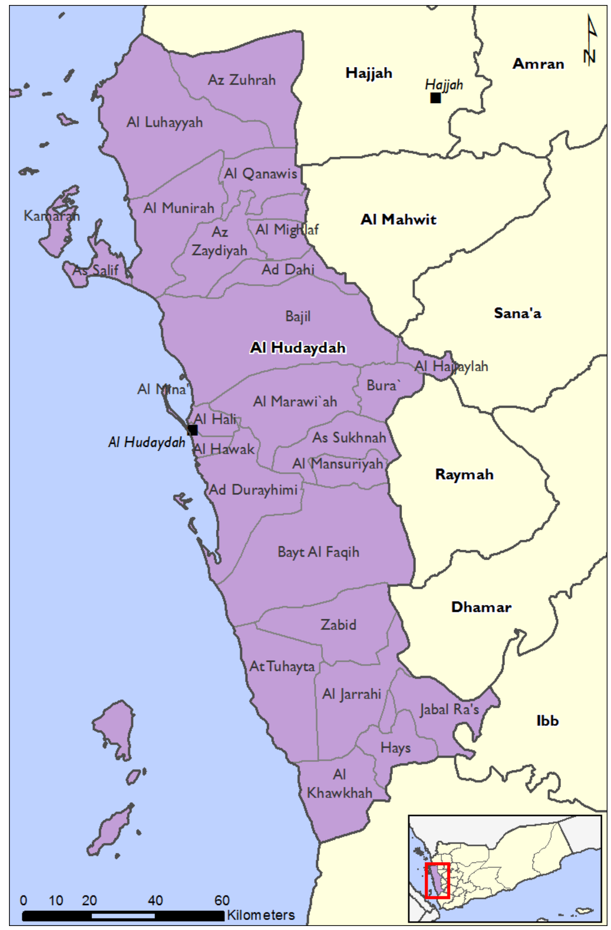
Al Hudaydah governorate

Current Situation

Conflict and displacement

Conflict has continued in Al Hudaydah governorate despite the ceasefire signed in December 2018. According to CIMP, Al Hudaydah was the governorate with the highest number of conflict incidents during January-March 2019, in which approximately 276 incidents occurred. This accounts for approximately 41 percent of total civilian impact incidents across the country. The number of airstrikes declined from 78 during the last quarter of 2018 to 3 in the first quarter of 2019.

Figure 4. Reference map for Al Hudaydah governorate



Source: *FEWS NET*

Nearly 4,374 households (or approximately 26,000 people) in Al Hudaydah governorate were displaced between January and late May 2019, according to the International Organization for Migration (IOM). Most newly displaced households relocated to Amanat Al Asimah, Sana'a, and Lahj governorates, according to IOM, while approximately 442 new IDP households remained in Al Hudaydah governorate. Prior to this, in November 2018, the total number of IDPs in Al Hudaydah governorate was estimated at 133,830.

Trade, markets, and prices

Al Hudaydah and Salif ports remain open and accessible to traders in early June. According to field reports, the main Al Hudaydah-Sana'a road continues to be closed due to insecurity, and the only remaining road out of Al-Hudaydah to Sana'a is the road to the north of Al Hudaydah via the Al Dahi and Bajil road. This road is also used by humanitarian organizations for the movement of humanitarian staff and cargo. This route is longer than the normal route to Sana'a. Moreover, the Logistics Cluster map from April 28, 2019 indicates that the road from Al Hudaydah City to Hays, Al Mansuryah, and Bayt al Faqih/Zabid as well as the route between Al Hudaydah and Ta'izz governorate remain closed. These access difficulties have been forcing people and trucks to find alternative longer and costly routes.

Wheat flour remained "available" in Al Hudaydah in April, according to WFP, as it has during three prior months. According to the most recent WFP Market Watch reports available, the availability of wheat flour improved during January and April 2019 to "available" (the highest of five rankings) compared to "widely available" (the second highest of five rankings) in the last three months of 2018. On the other hand, red beans were "sparsely available" (the third of five rankings) in April, as was the case during the five previous months. Sugar was "available" in March and April, an improvement from "widely available" during the four previous months. Field report suggest essential food commodities such as wheat remain available in Al Hudaydah governorate into June 2019.

Wheat flour prices remained generally stable in April 2019, declining by 4 percent compared to March 2019. April 2019 wheat flour prices were approximately 12 percent lower than the for six-month average from October 2018 to March 2019, and approximately 27 percent higher than in April 2018. Improvements in staple food prices compared to late 2018 were reportedly due to improvements in the YER/USD exchange rate, following substantial deposits of foreign exchange in the Central Bank, and favorable exchange rates provided to importers of staple foods, although retail wheat prices are currently as much as 79 percent above pre-conflict levels.

Diesel, gasoline, and cooking fuel remained "sparsely available" in Al Hudaydah, with prices well above pre-crisis levels. According to the April 2019 Yemen Market Watch Report, diesel, gasoline, and cooking fuel were "sparsely available," consistent with reporting over the prior six months. Gasoline prices increased by 45 percent between March and April 2019, while diesel prices increased by 55 percent compared to March 2019. Gasoline and diesel prices are approximately 44 and 98 percent higher than at the same time in 2018. The increased fuel prices in April is related mainly to the shortage of fuel in the northern parts of the country where fuel could mostly be sourced from the parallel markets. Data collected in Al Hudaydah City in May indicated the prices have returned to pre-April levels, with declines of approximately 30 percent between April and May 2019.

Household livelihoods and incomes

Household income may have improved in recent weeks, as several months of government salary payments were made in April/May, including in some areas under Houthi control. In recent weeks, the recognized government paid four months-worth of salaries, for January through April 2019, to all civil government staff in Al Hudaydah governorate. Prior to this, only half salaries were being paid to most civil government staff and those payments were being made on an irregular basis. Teachers in only six districts (Al Duryhimi, Hays, Al Tuhaytah, Al Hawak, Al Hawak, Al Mina, and Al Khawkh districts) have been getting their regular salaries since August 2018.

Wage labor rates for skilled laborers have decreased in recent months, while those for unskilled laborers have increased. According to WFP, the daily wage rate for skilled laborers declined from approximately 6,000 YER/day in mid-2017 to 5,000 YER/day in April 2018, and then to 4,000 YER/day between May 2018 and March 2019. Meanwhile, WFP reports the daily wage rate for unskilled laborers remained constant at 3,000 YER/day between July 2016 and September 2018, then increased to 3,500 YER/day as reported between November 2018 and March 2019. Field reports suggests that increases in wage labor rates could be due to laborers demanding higher labor rates as cost of living expenses have increased.

Field reports indicate pensions, casual labor, fishing, sales of livestock, government salaries, and humanitarian assistance continue to be important sources of income in Al Hudaydah governorate. According to unpublished results from a baseline assessment conducted by Save The Children in late 2018, interviewed households in conflict-affected districts such as Bajil, Al Zaydia, and Beit Alfaqih considered pensions, fishing, and non-agricultural related casual labor to be among the most important sources of income. Field reports also suggest that farmers continue to rely on sales of livestock as a source of income in Al Hudaydah governorate. IDPs are engaging casual labor in order to access income, although access to casual labor remains difficult. In addition, many IDPs are reportedly relying on humanitarian assistance.

UNICEF is continuing to provide significant cash transfers to poor households through World Bank-funded Social Welfare Fund-like payments. The most recent round of Social Welfare Fund (SWF)-like payments was completed in March 2019. The fifth round is scheduled to take begin in June and will cover about 144,000 households (approximately 864,000 people). These transfers average approximately 15,000 YER per household, which is equivalent to approximately 33 percent of the cost of the monthly minimum food basket (45,000 YER), as estimated by the FSAC in April 2019. These additional cash resources could help significantly improve household purchasing power and food access among some of the poorest households.

Humanitarian assistance

Large-scale assistance continues to reach approximately one-third of the population in Al Hudaydah governorate. According to WFP, approximately 991,000 beneficiaries received emergency food assistance each month between January and March 2019, a two percentage point increase in the population of Al Hudaydah governorate receiving assistance compared to October-December 2018. In May 2019, WFP managed to distribute two months of food assistance in Ad Durayhimi City of Al Hudaydah governorate for the first time in 2019, after successful negotiations with local authorities. WFP assistance in these areas targets two-thirds to a full ration.

Humanitarian access remains difficulty in parts of Al Hudaydah governorate. OCHA's most recent District Access Severity map from January 2019, shows five districts in Al Hudyadah (Ad Durayhimi, Al Tuhayta, Hays, Al Saleef and Kamaran) were "high" access constraints. Approximately 164,315 people (according to 2019 population estimates) live in these areas, which represents approximately six percent of the population in the governorate. Out of 26 districts in Al Hudaydah governorate, humanitarian assistance was distributed in 22 districts in January, 24 districts in February, and 25 districts in March. According to OCHA's most recent Yemen Humanitarian Access Snapshot for February-March 2019, access incidents are most frequent in areas also affected by conflict. In February-March 2019, approximately 10 out of 83 incidents (mainly restriction of movement, violence against humanitarian personnel/assets/facilities, and interference in the implementation of humanitarian activities), were reported in Al Hudaydah governorate.

Disease outbreaks

Continued disease outbreaks remain concerning in Al Hudaydah governorate. According to WHO, Al Hudaydah remains among the governorates with the highest number of suspected cholera cases, at more than 32,698 between January and May 14, 2019, although significant declines in the caseload were reported in April 2019. In addition, approximately 200 suspected measles cases were reported in Al Hudaydah between January and May 26, 2019, compared to approximately 400 suspected cases were reported in 2018, according to the WHO Weekly Epidemiological Bulletin. Between mid-2017 and March 23, 2019, there have also been approximately 489 suspected cases of diphtheria, and 38 deaths associated with suspected cases.

Food security indicator data

Data collected in late 2018 on food consumption and coping strategies indicated severe levels of food insecurity outcomes in Al Hudaydah. According to Food Consumption Score, more than one in five households had "borderline" food consumption, while more than 40 percent of households engaged in "severe" levels of consumption-based coping strategies during the 30 days prior to data collection. According to Household Hunger Scale, a small percentage of households faced "severe" hunger, and approximately 20 percent of households engage in "emergency" levels of livelihoods coping.

In Al Hudaydah governorate, WFP mVAM[1] data indicate the proportion of households with "poor" food consumption increased in April 2019. Between April 2018 and October 2018, the proportion of households surveyed in Al Hudaydah with "poor" food consumption, according to Food Consumption Score, ranged between 2 and 9 percent, and then increased between November 2018 and January 2019 to between 12 and 16 percent, before declining to 6 percent in March, and then reaching 19 percent in April 2019. The percentage of people with "Borderline" and "Acceptable" food consumption has likewise been volatile in recent months. Most concerning, the percentage of people with "Acceptable" food consumption declined from the 65-75% range in late 2018 to 47% in April 2019. Meanwhile, the mean and median reduced Coping Strategies Index has remained generally stable in recent months.

Households continue to engage in coping strategies in order to meet their food needs, particularly relying on less preferred or less expensive food items. According to unpublished results from Save the Children's November 2018 baseline assessment of beneficiary households in Bajil, Al Zaydia, and Beit Alfaqih districts, approximately one in 10 households surveyed had "poor" food consumption according to FCS, nearly 4 in 10 had "borderline" consumption, and 5 in 10 had "acceptable" food consumption. The most common coping mechanism to deal with insufficient food was relying on less preferred or less expensive foods, which approximately 9 in 10 households reported. This was followed by borrowing food, relying on help from a friend or relative, and limiting portion size at mealtimes. According to Household Hunger Scale, 76 percent of households interviewed had "little or no" hunger (score >= 1), and 23 percent faced "moderate" hunger (score >=2 and <=3). Less than one percent of households had "severe" hunger (score >=4), according to HHS.

Admissions for treatment of severe acute malnutrition (SAM) increased in late 2018/early 2019 in Al Hudaydah governorate. UNICEF data on SAM admissions in Al Hudaydah governorate show broadly similar levels and trends between 2016 and 2018, with the lowest levels occurring around January and the number of monthly cases treated increasing through December. However, at the end of 2018 and in early 2019, SAM admissions increased from a monthly average of 7,000 cases/month in October-November-December to nearly 8,500/month in January-February-March. This stands in contrast to

[1] Please note that cell phone-based surveys are likely biased towards better-off and urban populations who have access to cell phones. These biases should be kept in mind when comparing these survey results with in-person representative household surveys conducted prior to the conflict.

prior years when SAM admissions have tended to decline in Al Hudaydah toward the beginning of the year. Moreover, this caseload is significantly higher than those observed at that time of year. In general, monthly SAM admissions have ranged from about 4,700 and 5,200 during the months of January-March during 2016, 2017, and 2018. However, at nearly 8,500/month, the January-February-March 2019 levels were nearly double the levels observed at the same time during the past three years. According to UNICEF, this increase could be related to the increase of the OTP sites during 2018 compared to 2017, while it is also possibly due to increased referrals for treatment following the measles immunization campaign that took place in February 2019, as well as the improvements in humanitarian access in Al Hudaydah (particularly Al Hudaydah City) following the Stockholm Agreement in late 2018.

Assumptions

- **Conflict**: For the purposes of this scenario, FEWS NET assumes that conflict will continue at recent levels and will continue to constrain road access to markets in the southern and western coastal areas, including Al Hudaydah City, as well as the main route between Al Hudaydah and Sana'a governorate.
- **IDP populations:** IDP populations are likely to increase due to conflict and insecurity in southern and western coastal areas and in Al Hudaydah City.
- **Staple food prices**: Retail wheat flour prices in Al Hudaydah will likely be above average and near to moderately above levels observed in 2018, due largely to the direct impacts of currency depreciation on imports and indirect impacts on staple food prices via increasing fuel prices. For the purposes of this scenario, FEWS NET assumes retail wheat flour prices will be between 230 and 300 YER/kg by January 2020 and will be 30 to 70 percent above average.
- **Agricultural production/labor**: Sorghum and millet will be harvested in June and July in YE-11 and YE-14 livelihood zones. Vegetables will be harvested between October 2019 and March 2020. Fruit will start to be harvested in January, with exception of banana and papaya, for which harvesting will continue only to the end of the year. Agricultural labor income will increase in these livelihood zones during this period but will likely be below normal levels.
- **Livestock and livestock products**: Among rural populations, sales of livestock are likely to continue throughout the outlook period, peaking during the holidays in June and August. However, sales will be lower than typical levels and terms of trade are likely to remain below average due to high staple food prices. Milk production will continue until October in most areas in YE-11 and YE-14 livelihood zones, with a seasonal decline in June.
- **Fishing:** Fishing activities in coastal areas of Al Hudaydah will remain limited due to ongoing insecurity.

Most Likely Food Security Outcomes

No significant improvements to food security conditions are expected in Al Hudaydah as conflict continues. IDP populations and those residing in southern and western conflict-affected areas are likely to continue to face more severe outcomes. Even in the absence of additional disruptions, some affected populations are expected to face greater difficulty meeting their basic food needs as they begin to exhaust their coping capacity. The number of households facing Crisis (IPC Phase 3) or worse outcomes is likely to increase, particularly among those IDPs who are unable to access their typical sources of food and income and who do not receive assistance. Between June 2019 and January 2020, Al Hudaydah is expected to remain in Crisis (IPC Phase 3!) in the presence of ongoing humanitarian food assistance, even as some populations in the governorate face Emergency (IPC Phase 4) or worse outcomes.

Events that Might Change the Outlook

Possible events over the next eight months that could change the most-likely scenario include:

Area	Event	Impact on food security outcomes
Al Hudaydah	Food imports stop due to closure of main ports, destruction of key port infrastructure of in Al Hudaydah.	Food availability in all over the country including Al Hudaydah and other governorates that have been suppled from Al Hudaydah would quickly decline and food security outcomes would likely get worse.

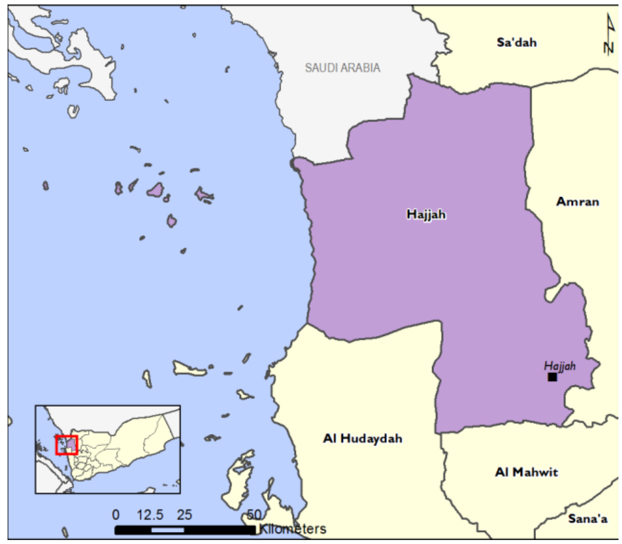
Hajjah governorate

Current Situation

Conflict and displacement

Between March and May 2019, ground fighting in Hajjah governorate has reduced and has mostly been concentrated in Abs district. According to Intelyse, ground fighting declined in Hajjah governorate between mid-March and early May following increases in conflict in early 2019 between Houthis and Hajjour tribesmen in Kusher district. Meanwhile, increases in airstrikes were reported between late March and early May. According to CIMP, in Hajjah the average weekly civilian casualty rate increased from 5 per week during the last three months of 2018 to 16 per week during the first three months of 2019. Moreover, the number of civilian casualties caused by airstrikes increased from 47 during the fourth quarter of 2018 to 127 in the first quarter of 2019.

Figure 5. Reference map for Hajjah governorate



Source: *FEWS NET*

Between January to May 26, 2019 approximately 25,889 families were displaced in Hajjah governorate, mainly in Abs, Kushar and Aflah Ash Sham districts, according to IOM **.** Moreover, about 1,488 displaced families moved to the nearest districts in Al Hudaydah governorate such as Al Qanawis, Alluheyah and Az Zuhrah districts, following reporting from the IOM Displacement Tracking Matrix, estimating the number of IDPs in Hajjah at approximately 374,820 in November 2018.

Trade flows

Hajjah has among the highest access constraints in Yemen. The Yemen Logistics Cluster Access Constraints Map from April 28, 2019 indicates that all routes between Hayran, Midi, Haradh, Mustaba, and Kusher districts are closed. Meanwhile, the roads linking Hajjah to Al Hudaydah and Sana'a remain open, whereas roads from Hajjah to Amran governorate are difficult to access. The border crossing linking Hajjah to Saudi Arabia in Haradh Al Tuwal has been closed since July 2015 due to military activities. The Access Constraints map from April 2019 showed no change compared to the situation in January 2019.

Staple food and fuel prices

WFP reports that basic food commodities remained "available" in Hajjah governorate in April 2019. According to the most recent WFP Market Watch Report for April 2019, wheat flour was "available" (the highest of five rankings), consistent with reporting over the prior six months. The same trend has been observed for vegetable oil, red beans, and sugar. On the other hand, cooking gas, diesel, and petrol remained only "sparsely available," as they have been in recent months.

Wheat flour prices decreased in April compared to the average monthly prices during the previous six months, but remained above pre-crisis levels. According to WFP price reporting, retail wheat flour prices in Hajjah were 265 YER/kg in April 2019, which is approximately seven percent lower than the average for six prior months (October 2019 to March 2019), 15 percent higher than the monthly average for 2018, and 93 percent higher than pre-conflict levels.

Diesel, gasoline, and cooking fuel were "sparsely available" in Hajjah, with prices remaining well above pre-crisis levels in April 2019. According to WFP, diesel, gasoline, and cooking fuel were all "sparsely available" in Hajjah in March 2019, which is consistent with reporting for most governorates in the country over the prior six months. According to WFP price data, diesel, and gasoline prices increased by 5 and 84 percent between March and April 2019, respectively, while they were higher by 184 and 314 percent compared to pre-crisis levels, and higher than the 2018 monthly average prices by about 8 and 56 percent.

Household livelihoods and incomes

Field reports indicate casual labor, government salaries, animal and crop production, social welfare and humanitarian assistance continue to be important sources of income in Hajjah governorate. In November 2018, Save The Children conducted a baseline assessment of households receiving assistance in conflict-affected areas in, among other places in Yemen, Bani Qa'is, Kuaydinah and in Al Shagadirah districts in Hajjah governorate. Unpublished results from this assessment suggest the most common source of income among interviewed was non-agricultural casual labor, followed by government salaries, agricultural casual labor, social welfare, animal production, and crop production. Very few interviewees reported receiving remittances. On the other hand, about one in six households reported having no sources of income. According to the Ministry of Agriculture, farmers continue also rely on livestock sales as a source of income. Most IDPs reported having little access to livelihood opportunities and relying heavily on humanitarian assistance.

According to WFP, the daily wage rate for skilled laborers has fluctuated from approximately 5,333 YER/day on average in 2018, peaking at 7,000 YER/day in March 2018, before declining to 5,500 YER/day by March 2019. Meanwhile, WFP reports the daily wage rate for unskilled laborers has increased from about 2,510 YER/day on an average in 2018 to 2,750 YER/day in March 2019. The highest rate was reported in March and April 2018 as well as January 2019 at 4,000 YER/day.

UNICEF is continuing to provide significant cash transfers to poor households through World Bank-funded Social Welfare Fund-like payments. The most recent round of Social Welfare Fund (SWF)-like payments was completed in March 2019. The fifth round is expected to begin in June 2019 and will cover approximately 141,000 households (approximately 847,000 people). At these levels, 30 to 35 percent of the population of Hajjah governorate would be receiving cash transfers. The average transfer is approximately 15,000 YER per household, which is equivalent to approximately 33 percent of the cost of the monthly minimum food basket (45,000 YER), as estimated by the FSAC in April 2019. These additional cash resources could help significantly improve household purchasing power and food access among some of the poorest households.

In November 2018, Save The Children conducted a baseline assessment of households receiving assistance in conflict-affected areas in, among other places in Yemen, Bani Qa'is, Kuaydinah and in Al Shagadirah districts in Hajjah governorate and Bajil, Al Zaydia and Beit Alfaqih districts in Al Hudaydah governorate. Unpublished results from this assessment suggested the most common source of income among interviewed was non-agricultural casual labor and pensions.

Humanitarian assistance

More than one-third of the total population in Hajjah governorate receives humanitarian food assistance each month. Between January and March 2019, on average 913,000 beneficiaries received emergency food assistance each month. This represents a slight increase compared to last quarter of 2018, when on average 888,000 beneficiaries received emergency food assistance each month. Distributions in March 2019 targeted only 890,348 beneficiaries due to ongoing fighting and access constraints in some districts such as Abs, Hayran, Aslem, Haradh and Mustaba. However, WFP assistance plans include increasing delivery of emergency food assistance to reach approximately 1.3 million people in Hajjah governorate on a monthly basis during 2019. Where provided, WFP assistance in targets two-thirds to a full ration. Although some sharing likely occurs, it is likely that emergency food assistance is helping to provide recipient households with a significant portion of their food needs.

According to the most recent reporting from OCHA in January 2019, five districts in Hajjah governorate (Midi, Haradh, Bakil Al Mir, Mustaba, and Hayran) faced high access constraints. Approximately 329,137 people (according to 2019 population estimates) live in these areas, which represents about 14 percent of the population in the governorate. The access constraints are mostly related to difficulties associated with approval of humanitarian activities and movements and signing of sub-agreements with the government. Moreover, armed conflict and insecurity affect the ability of all humanitarian actors to reach people in need. Out of a total 31 districts in Hajjah governorate, humanitarian assistance was distributed in 26 districts in January, 22 districts in February, and 25 districts in March.

Disease outbreaks

Hajjah has the sixth highest number of suspected cholera cases compared to other governorates, with 26,946 cases reported between January and May 14, 2019. Cases of measles and diphtheria are also reported in Hajjah. Hajjah is among the governorates worst-affected by the measles outbreak, with approximately 600 suspected cases recorded between January 1 and May 26, 2019.

Food security and nutrition indicator data

Data collected by partners on food consumption and coping strategies in Yemen suggest outcomes in Hajjah are very concerning. According to Food Consumption Score, more than one in five households have “poor” food consumption, while approximately two-thirds of households engaged in severe levels of consumption-based coping strategies during the 30 days prior to data collection. According to the Household Hunger Scale, more than 20 percent of households faced “severe” hunger, and more than 20 percent of households engage in “emergency” levels of livelihoods coping.

WFP mVAM data suggest the percentage of people with “poor” food consumption may have increased in April 2019. In April, approximately 13% of respondents had “poor” food consumption, up from 4-5% in December 2018, and back to levels of between 12 and 15% reported between September and November 2018. The mVAM data indicate the percentage of respondents with “borderline” food consumption remained stable at around 25%, while 61% of respondents had “acceptable” food consumption, down from 70 percent in December 2018.

Between December 2018 and March 2019, WFP’s mVAM[2] surveys indicated that, on average, about 7 percent of respondents in Hajjah had “poor” food consumption, before increasing to 13 percent in April 2019. Moreover, mVAM data suggested that the average percentage of households with “poor” food consumption remained stable between January 2019 and April 2019 compared to the six months prior. During the same period, the median Reduced Coping Strategies Index of the respondents decreased slightly.

The typical level of global acute malnutrition (GAM) in Hajjah is Critical (15–30 percent) in the lowlands and Alert in the Highlands (5–9.9 percent). The latest available information on GAM levels is from the SMART survey conducted in March 2018. Based on its findings, the GAM prevalence in Hajjah based on weight-for-height was 14.9 percent (CI: 11.8–18.8) in the lowlands and 8.9 percent (CI: 6.5–12.1) in the highlands. This prevalence is not significantly different from that of the SMART survey conducted in September 2015 (although that survey was conducted in a different season) or from historical pre-conflict levels based on surveys conducted in the same season. High wasting levels are attributable to a high prevalence of morbidity, poor infant and young child feeding practices, and poor food consumption, and are linked to the households’ inability to purchase both adequate amounts of food as well as diverse enough foods to meet basic nutritional needs, which has been exacerbated by conflict.

Monthly admissions for treatment of severe acute malnutrition (SAM) in early 2019 were higher in Hajjah governorate than at the same time during the three previous years. The monthly average of SAM admissions for January-March 2019 was slightly less than 2,500 per month, compared to 1,200 to 1,700 during the same time in 2016, 2017, and 2018. Despite being higher than in previous years, the Jan-Mar 2019 average represents a sharp decline from admissions between September-November 2018, which averaged approximately 3,200 per month. According to UNICEF, elevated SAM admissions in late 2018 and early 2019 could be related to increases in the number of OTP sites during 2018 compared to 2017.

Food insecurity and severe livelihood coping strategies continue to be reported in Hajjah governorate. According to unpublished results of a November 2018 baseline assessment conducted by Save The Children in Bani Qa’is, Kuaydinah and in Al Shagadirah districts in Hajjah governorate, approximately one in 10 interviewed had “poor” food consumption according to FCS, nearly 2 in 10 had “borderline” consumption, and 7 in 10 had “acceptable” food consumption. Additionally, households indicated that the most common coping strategy in response to insufficient food access was relying on less preferred or less expensive food items, which approximately 9 in 10 households reported. This was followed by borrowing food, relying on help from a friend or relative, and limiting portion size at mealtimes. Approximately 9 in 10 households had an rCSI of 5 or above, which is indicative of high levels of food insecurity. Furthermore, about 13 percent of households interviewed were consuming a diet with less than 5 out of 12 food groups as indicated by the HDDS. According to Household Hunger Scale, slightly less than half of all households had “little or no” hunger (score >= 1), and slightly less than half faced “moderate” hunger (score >=2 and <=3). Approximately five percent of households faced “severe” hunger (score >=4).

Current food security outcomes

Based on available information on food security outcomes and contributing factor information on household food availability and access, FEWS NET estimates that at least one in five households in most areas of Hajjah are likely facing elevated levels of food insecurity, including food consumption gaps, in line with Emergency (IPC Phase 4) food insecurity. This is even in the presence of humanitarian food assistance, which is helping protect food consumption among some populations who may otherwise be in Emergency (IPC Phase 4) or worse. Given variations in conflict levels and humanitarian access, it is likely that geographic variations in food security outcomes exist throughout the governorate. More specifically, IDPs throughout the governorate, and poor households in lowland areas, where malnutrition rates have historically been high, are likely facing more severe outcomes than households in highland areas.

Assumptions

- **Conflict**: During the scenario period, FEWS NET assumes that conflict will continue in western areas of Hajjah governorate.
- **IDP populations:** IDP populations are likely to increase as military operations continue.
- **Staple food prices:** Wheat flour prices are likely to remain much higher than normal, due to continued increases in prices at key import markets, as well as expected increases in transportation costs due to increases in fuel prices.
- **Agricultural production/labor**: Sorghum and millet will be harvested between June and September, whereas wheat will be harvested between August and October, especially in YE1 livelihood zone. Grapes will be harvested between July and September. On the other hand, in YE-13 qat will continue to be harvested until August. Agricultural labor income will increase in these livelihood zones during this period but will likely be below normal levels.
- **Livestock and livestock products**: Among rural populations, sales of livestock are likely to continue throughout the outlook period. Livestock sales will increase between June and August due to the Muslim holidays and prices are expected to increase, but sales of livestock will be below average, due to the consumer low income and demand. Milk production will continue between August and November, although there is no milk production between June and July in YE-13 and YE-14.
- **Market supply levels**: Food will likely remain available in Hajjah governorate, although fuel will likely continue to be sparsely available.

Most Likely Food Security Outcomes

Between June 2019 and January 2020, Hajjah governorate is likely to be in Emergency (IPC Phase 4). Humanitarian food assistance is expected to continue to be delivered in Hajjah governorate through September 2019, but at least one in five households are expected to remain in Emergency (IPC Phase 4) between now and September. As a result, Hajjah governorate will remain in Emergency (IPC Phase 4) through September 2019. However, should assistance fail to materialize nationwide, FEWS NET expects that staple food prices would likely increase further. This, coupled with the absence of food assistance to protect food consumption at the household level, would likely drive increases in the number of households in Emergency (IPC Phase 4). Moreover, it is likely that the size of the population in Catastrophe (IPC Phase 5) would increase and Hajjah would face a risk of Famine (IPC Phase 5). IDP populations would continue to face some of the more severe outcomes.

Events that Might Change the Outlook

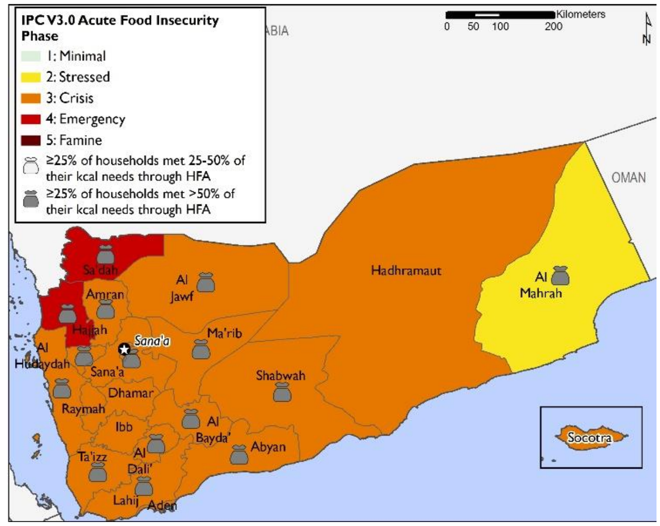
Possible events over the next eight months that could change the most-likely scenario.

Area	Event	Impact on food security outcomes
Hajjah	Increased conflict in the governorate.	IDPs would likely increase, destruction or closure of remaining open roads with Al Hudaydah which supplies the most staple food to Hajjah governorate. Available of the food in the local market would be declined and food security outcomes would likely worsen
Hajjah	Closure of Al Hudaydah and Salif ports.	Resulting to declining food availability at local markets in Hajjah governorate. Food security outcomes would likely deteriorate with the possibility of more households facing Catastrophe (IPC Phase 5).

MOST LIKELY FOOD SECURITY OUTCOMES AND AREAS RECEIVING SIGNIFICANT LEVELS OF HUMANITARIAN ASSISTANCE*

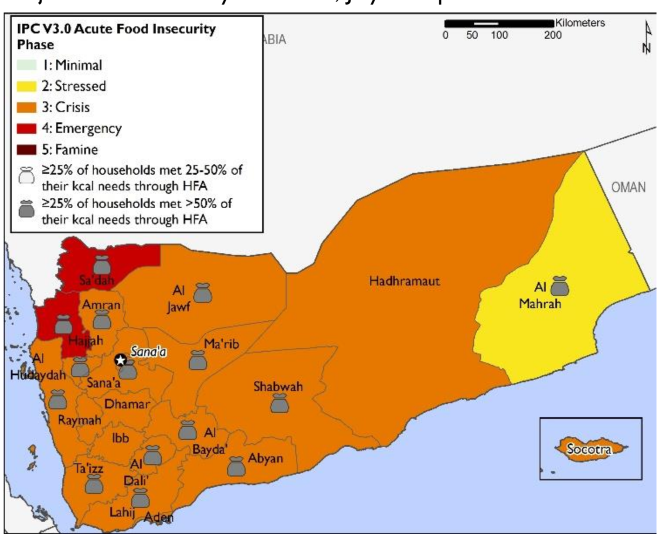
Each of these maps adheres to IPC v3.0 humanitarian assistance mapping protocols and flags where significant levels of humanitarian assistance are being/are expected to be provided. indicates that at least 25 percent of households receive on average 25–50 percent of caloric needs from humanitarian food assistance (HFA). indicates that at least 25 percent of households receive on average over 50 percent of caloric needs through HFA. This mapping protocol differs from the (!) protocol used in the maps at the top of the report. The use of (!) indicates areas that would likely be at least one phase worse in the absence of current or programmed humanitarian assistance.

Current food security outcomes, June 2019



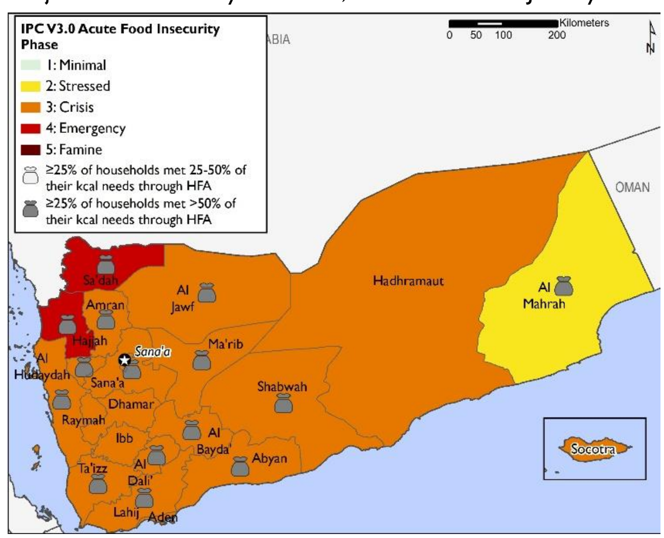
Source: *FEWS NET*

Projected food security outcomes, July to September 2019



Source: *FEWS NET*

Projected food security outcomes, October 2019 to January 2020



Source: *FEWS NET*

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

ABOUT SCENARIO DEVELOPMENT

To project food security outcomes, FEWS NET develops a set of assumptions about likely events, their effects, and the probable responses of various actors. FEWS NET analyzes these assumptions in the context of current conditions and local livelihoods to arrive at a most likely scenario for the coming eight months. Learn more here.